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Sunrise Financial LLC v. Manoucher Sarbaz

TENTATIVE RULING - Order on Post-Trial Motion

The first cause of action for breach of contract is barred by Code of Civil Procedure section 580d, subdivision (a), and by Defendants' Second Affirmative Defense.

Judgment shall be entered in favor of Defendant Manoucher Sarbaz and against Plaintiff Sunrise Financial, LLC on the first cause of action, and Plaintiff shall take nothing on that cause of action. The remaining causes of action stand as adjudicated in the September 12, 2022 judgment, which the Court of Appeal affirmed.

ANALYSIS

Introduction

On July 5, 2017, Plaintiff Sunrise Financial, LLC filed a Complaint in this action against Defendants Manoucher Sarbaz and High Desert Solar, LLC, alleging causes of action for breach of contract, money had and received, account stated, fraud in the inducement, and unjust enrichment.

In October 2018, trial commenced before the Honorable Lia Martin.

On December 1, 2021, trial concluded and the matter was submitted.

On February 25, 2022, the Court issued its Statement of Decision in favor of Defendants on all causes of action, finding the first cause of action for breach of contract time-barred under Code of Civil Procedure section 339(1).

On September 12, 2022, the Court entered judgment in favor of all Defendants.

Thereafter, Plaintiff filed a timely notice of appeal.

On January 17, 2025, the Court of Appeal, Second Appellate District, Division Three, filed its unpublished opinion in Sunrise Financial, LLC v. Sarbaz (B324659), reversing the judgment as to the first cause of action for breach of contract, affirming the judgment in all other respects, and remanding for further proceedings consistent with the opinion.

On February 3, 2025, Defendants filed a petition for rehearing.

On February 6, 2025, the Court of Appeal denied the petition for rehearing.

On March 21, 2025, the remittitur issued.

On March 2, 2026, this matter was reassigned to the Honorable Cindy Pánuco.

On July 6, 2026, Defendants filed their Post-Trial Opening Brief on the merits of the first cause of action.

On July 6, 2026, Plaintiff filed its Closing Brief.

On July 7, 2026, Defendants filed the Declaration of Robert M. Gilchrest regarding trial exhibits cited in their opening brief.

On August 17, 2026, Defendants filed their responding brief.

On August 18, 2026, Plaintiff filed a Supplemental Brief and Declaration of Steven L. Sugars regarding damages, together with the Declaration of Steven L. Sugars regarding the lodging of Trial Exhibit 117.

Request for Judicial Notice

Plaintiff Sunrise Financial, LLC requests that the Court take judicial notice of eight documents filed concurrently with its July 6, 2026 Closing Brief: (1) Defendants' February 3, 2025 Petition for Rehearing filed in the Court of Appeal (Exhibit 1); (2) the Court of Appeal's February 6, 2025 order denying that petition (Exhibit 2); (3) this Court's February 25, 2022 Statement of Decision (Exhibit 3); (4) the Deed of Trust recorded February 12, 2013 against the Lindbrook Property (Exhibit 4); (5) the Notice of Sale recorded March 3, 2015 (Exhibit 5); (6) the Trustee's Deed Upon Sale recorded April 10, 2015 (Exhibit 6); (7) the April 29, 2013 promissory note in the amount of \$100,000 (Exhibit 7); and (8) the May 17, 2013 promissory note in the amount of \$90,000 (Exhibit 8).

The request is granted in part and denied in part.

The request is denied as to each paragraph in the Request for Judicial Notice to the extent that Plaintiff requests this Court to accept Plaintiff's characterization of any of the attached exhibits. As provided, those are contested legal conclusions and disputed factual contentions going to the merits of the very defenses now before the Court. Judicial notice does not extend to them. (*Sosinsky v. Grant* (1992) 6 Cal.App.4th 1548, 1564–1565.)

The remainder of the request is granted.

Evidentiary Objections

Defendants Manoucher Sarbaz and High Desert Solar, LLC submit evidentiary objections, filed August 21, 2026, to Plaintiff's Supplemental Brief and Declaration of Steven L. Sugars re: Damages, filed August 18, 2026.

The objections are overruled.

The Scope of Remand

Sunrise's threshold position is that the remittitur permits this Court to do nothing but vacate the prior judgment and enter judgment in Sunrise's favor. Sunrise contends the Court is without jurisdiction to consider Defendants' anti-deficiency and one-action defenses.

The Court rejects that position.

Sunrise correctly states the governing rule. On remand, the trial court is reinvested only with such jurisdiction as the remittitur defines, and action inconsistent with the reviewing court's directions is void. (*Hampton v. Superior Court* (1952) 38 Cal.2d 652, 655–656.) Remand language must be read together with the opinion as a whole. (*Bach v. County of Butte* (1989) 215 Cal.App.3d 294, 302; *Eldridge v. Burns* (1982) 136 Cal.App.3d 907, 917–918.) Read as a whole, however, the opinion here does not direct entry of judgment for Sunrise.

First, the Court of Appeal decided two questions: whether contracts existed between Sunrise and Manoucher, and which limitations period governs them. It held the April and May Notes are written contracts subject to the four-year statute, and it reversed on that basis alone. It did not address section 580d, section 726, waiver, or estoppel, and it had no occasion to, because this Court had not ruled on them. The doctrine of law of the case reaches points actually decided. It does not reach issues the reviewing court never took up. (*People v. Barragan* (2004) 32 Cal.4th 236, 246.)

Second, *Bach* and *Eldridge* are inapposite. Both concern whether a trial court must reopen the evidence on remand. Neither holds that a general reversal extinguishes affirmative defenses that were properly pleaded and preserved but never adjudicated because the trial court disposed of the claim on another ground. Sunrise's own brief concedes that "[t]his Court's Statement of Decision does not address Defendants' arguments concerning the anti-deficiency statutes or the one action rule, under CCP Sections 580a, 580b, 580d, and 726(a)." (Pl.'s Closing Br., p. 6.) That concession is dispositive of the point: the defenses are unadjudicated, not rejected.

Third, the denial of Defendants' petition for rehearing is not an adjudication on the merits and carries no law-of-the-case or preclusive effect. A summary denial of rehearing decides nothing beyond the request for rehearing itself. Sunrise argues that the Court of Appeal "considered" and refused the anti-deficiency defense. That argument reads a merits determination into a one-sentence order that does not contain one.

Fourth, and most simply, reversal of the judgment on the first cause of action restored that cause of action for determination of the issues left undecided. Had the Court of Appeal intended entry of judgment in a sum certain, it would have said so.

The affirmative defenses are properly before the Court.

The Anti-Deficiency Defense

Defendants' First Amended Answer asserts two groups of defenses. The Fourth Affirmative Defense asserts the one-form-of-action and security-first rule and the anti-deficiency bar. The Second and Third Affirmative Defenses assert waiver and estoppel. (First Amended Answer) Defendants contend the April and May Notes were secured by the Deed of Trust under which Sunrise foreclosed on the Lindbrook Property. They argue Sunrise therefore cannot obtain a personal

judgment for the balance.

Section 726, subdivision (a), requires a secured creditor to exhaust its security, in a single action, before obtaining a money judgment on the debt. (*O'Neil v. General Security Corp.* (1992) 4 Cal.App.4th 587, 597; *Walker v. Community Bank* (1974) 10 Cal.3d 729, 736.) Sunrise did not sue first; it foreclosed first. The question is therefore not whether Sunrise violated section 726, subdivision (a), but whether, having sold the security under a power of sale, it may recover the balance.

That question is governed by section 580d. Section 580d provides that "no deficiency shall be owed or collected, and no deficiency judgment shall be rendered for a deficiency on a note secured by a deed of trust . . . in any case in which the real property . . . has been sold by the mortgagee or trustee under power of sale contained in the mortgage or deed of trust."

Whether the April and May 2013 Notes were secured by the January 2013 Deed of Trust

The threshold inquiry is whether the April and May Notes are secured obligations. Section 580d applies only to a note "secured by a deed of trust." If the April and May Notes were not secured by the Deed of Trust under which the Lindbrook Property was sold, section 580d does not apply, and Sunrise may sue on the notes as ordinary unsecured obligations. Defendants bear the burden of proof on their affirmative defenses. (Evid. Code, § 500.)

Dragnet clauses are enforceable in California. However, courts construe them according to the parties' actual expectations rather than the literal wording of the boilerplate. (*Fischer v. First Internat. Bank* (2003) 109 Cal.App.4th 1433, 1444-1445.) The question is therefore whether the instruments and the parties' conduct show that the April and May advances were understood to be secured by the Lindbrook Property.

Each note is captioned "Promissory Note Secured By Deed of Trust." Each recites that "[t]he payment of this Note and all interest and other charges thereon is secured by those certain instruments entitled Deed of Trust, Security Agreement, Fixture Filing and Assignment of Leases and Rents." The recital identifies the property as 10748 Lindbrook Drive, Los Angeles. (Exs. 2, 3, p. 3.) Sunrise prepared these instruments. (SOD, p. 3.)

The Court of Appeal held that the notes are written contracts between Sunrise and Manoucher. Their essential terms, the amount loaned and the date repayment was due, are set out in the notes, and Manoucher signed them. Sunrise sues on the notes as the written contract. It may not enforce the writing while disclaiming its security recital. (Civ. Code, § 1641.)

The January 8, 2013 Deed of Trust, recorded February 12, 2013, contains a dragnet clause. The clause secures "payment of additional sums and interest thereon which may hereafter be loaned to Trustor, or its successors or assigns . . . when evidenced by a promissory note or notes or other writing signed by Trustor or its successors or assigns, reciting that they are secured by this Deed of Trust." (Ex. 44, p. 4.) The April and May Notes name Lucerne Valley, LLC, the Trustor, as maker. They were prepared for Kamran Sarbaz's signature as Lucerne's managing member, and they recite the required security language. On their face, they are the instruments the dragnet clause contemplates. (See *Union Bank v. Wendland* (1976) 54 Cal.App.3d 393, 398-400, 405; *Fischer*, supra, 109 Cal.App.4th at p. 1444.)

Sunrise argues that the April and May Notes were not agreements with Lucerne, the owner of the Lindbrook Property, and that the foreclosure therefore had nothing to do with them. (Pl.'s Closing Br., pp. 8-9.) Applied to the dragnet clause, the argument is that the notes were not "signed by Trustor" and the advances were not "loaned to Trustor," so the clause never attached.

The Court of Appeal's opinion does not resolve this question. The Court of Appeal held that the April and May Notes are written contracts between Sunrise and Manoucher. In doing so, it noted this Court's finding that neither Elyaszadeh nor Manoucher believed Manoucher was acting as Lucerne's agent when he sought either loan. But it expressly declined to go further. Because Sunrise was not seeking to hold Lucerne liable, the court "need not address Manoucher's authority to sign on Lucerne's behalf." (Opn., p. 7, fn. 5.) Whether the notes bind Manoucher personally and whether they fall within the

security of the Deed of Trust are separate questions. The Court of Appeal decided the first and did not reach the second. (People v. Barragan, supra, 32 Cal.4th at p. 246.)

The argument is not frivolous, but it fails for two reasons.

First, Sunrise chose the form of the instruments. This Court found that Sunrise knew the April and May obligations were not intended to be Lucerne's.

"Nevertheless, Sunrise prepared loan documents that identified Lucerne as the borrower." (SOD, p. 3.) Those documents recited that the notes were secured by the Deed of Trust on Lucerne's property. The mismatch between form and substance might matter as against Lucerne, which is not a party to this action. (See Opn., p. 2, fn. 2 [Lucerne's wrongful foreclosure action resolved in Sunrise's favor].) It does not permit Sunrise, the drafter, to deny as against the borrower that the notes it wrote were secured. (Civ. Code, § 1654.)

Second, and most importantly, both Sunrise and Manoucher understood the April and May advances to be secured. This Court found that "Yona Samih does not make unsecured loans." It further found that "[b]oth Ely . . . and [Manoucher] knew this about Samih's practices at the time they negotiated April 29, 2013 and May 17, 2013 loans." (SOD, p. 2.) The Court of Appeal did not disturb those findings. The trial record is consistent with them:

- Samih testified that Sunrise made only secured loans. (10/3/18 RT 39:25–40:5.)
- Elyaszadeh testified that he believed the April and May Notes were secured when funded. (10/11/18 RT 72:6-18.)
- No separate deeds of trust were prepared for those notes. (10/11/18 RT 60:24-61:13.)
- Elyaszadeh testified that when his office calculated the amount stated in the July 11, 2014 notice of default, it included the sums due under the April and May Notes. (10/11/18 RT 72:25–73:5, 76:17-27.)
- In its own proposed statement of decision, Sunrise represented that it "foreclosed on the Lindbrook Property believing that the foreclosure eliminated all three loans - the January, April and May loans." (Pl.'s [Proposed] Tentative Statement of Decision, filed Sept. 24, 2021.)

Sunrise points to the Notice of Trustee's Sale recorded March 3, 2015 and the Trustee's Deed Upon Sale recorded April 10, 2015, each reciting \$401,022.00. (RJN Exs. 5, 6.) It argues these documents show the sale concerned only the January note. But the record also contains two documents stating \$995,000: a notice of default recorded July 11, 2014, and a notice of trustee's sale recorded January 27, 2015. (AA Vol. 1, pp. 31-33.) It also contains Elyaszadeh's testimony that all three notes were included in the calculation. The Court need not reconcile the figures. Section 580d turns on whether the note sued upon is secured by a deed of trust under which the property was sold, not on the amount noticed or bid. The bid amount bears on the size of any deficiency, not on the existence of the security.

The Court finds that the April and May Notes were secured by the January 8, 2013 Deed of Trust.

Section 580d Bars the First Cause of Action

Here, Sunrise elected nonjudicial foreclosure. On March 24, 2015, the Lindbrook Property was sold under the power of sale in the January 8, 2013 Deed of Trust, and Sunrise acquired title by credit bid. (10/11/18 RT 76:28–77:2, 80:24-26.) Sunrise later resold the property for \$1,776,000, netting \$738,620.40. (10/11/18 RT 85:1–2, 136:1–13.) Having made that election,

Sunrise took title free of any right of redemption. Under section 580d, it also forfeited the right to pursue a deficiency on the notes that deed of trust secured. (*Roseleaf Corp. v. Chierighino* (1963) 59 Cal.2d 35, 43-44.) The present action on the April and May Notes seeks precisely that: a personal money judgment for the unpaid balance of secured debt after the security has been sold under a power of sale. The action is barred.

The April and May Notes each contain a clause by which the maker purports to waive "the provisions of California Code of Civil Procedure Section 580b and

Section 726." (Exs. 2, 3.) The clause does not mention section 580d, and Sunrise does not invoke it. Because the Court rests its ruling on section 580d, it need not decide the clause's effect.

Bauman v. Castle (1971) 15 Cal.App.3d 990, on which Sunrise relies, is distinguishable. *Bauman* involved a suit against guarantors under a separate written guaranty whose rights were unaffected by the foreclosure. Manoucher is not a guarantor under a separate instrument; he is the principal obligor on notes that by their terms are secured by the very deed of trust foreclosed.

Waiver and Estoppel

Even if Manoucher were regarded as standing outside the secured obligation, like a guarantor, so that section 580d did not apply of its own force, the Second and Third Affirmative Defenses would bar recovery. A creditor who elects a private sale, which affords no equity of redemption, thereby waives any deficiency. (*Consolidated Capital Income Trust v. Khaloghli* (1986) 183 Cal.App.3d 107, 111.) Where the creditor's election of remedies destroys the debtor's redemption and reimbursement rights, estoppel is raised as a matter of law to bar the deficiency claim. (*Union Bank v. Gradsky* (1968) 265 Cal.App.2d 40, 47.)

Sunrise chose the remedy that maximized its recovery on resale and eliminated redemption. It cannot now pursue Manoucher personally for the balance.

Damages

Because the claim fails, the Court does not reach the issue of damages.

Conclusion

The first cause of action for breach of contract is barred by Code of Civil Procedure section 580d, subdivision (a), and by Defendants' Second Affirmative Defense.

Judgment shall be entered in favor of Defendant Manoucher Sarbaz and against Plaintiff Sunrise Financial, LLC on the first cause of action, and Plaintiff shall take nothing on that cause of action. The remaining causes of action stand as adjudicated in the September 12, 2022 judgment, which the Court of Appeal affirmed.

Moving party to give notice.

Parties who intend to submit on this tentative must send an email to the Court at SMCDept224@lacourt.org indicating intention to submit on the tentative, and copying all parties in the email communication. Please be advised that if you submit on the tentative and elect not to appear at the hearing, the opposing party may nevertheless appear at the hearing and argue the matter. Unless you receive a submission from all other parties in the matter, you should assume that others might appear

at the hearing to argue. If the Court does not receive emails from the parties indicating submission on this tentative ruling and there are no appearances at the hearing, the Court will adopt the tentative as the final order of the Court.

TENTATIVE RULING - Motion for Attorney Fees

The complaint alleges that Defendant approached Plaintiff to secure a loan to prevent foreclosure on real property. The Complaint alleges that Defendant breached the terms of promissory notes by failing to pay Plaintiff. Defendant is indebted to Plaintiff in the amount of \$190,000 plus interest.

Motion for Attorney Fees

Plaintiff and Appellant Sunrise Financial moves for attorney's fees and costs in the amount of \$51,055.29, which Plaintiff claims represents the reasonable and necessary attorneys' fees incurred by the Sunrise as the prevailing party on appeal, as well as attorneys' fees incurred in connection with the preparing this Motion.

Legal Standard

A prevailing party is entitled to recover costs, including attorneys' fees, as a matter of right. (See Code Civ. Proc., §§ 1032(a)(4), 1032(b), 1033.5.) In a breach of contract action, attorneys' fees shall be awarded when a contract provides that one of the parties or the prevailing party shall be awarded attorneys' fees in an action on that contract. (See Civ. Code, §1717.)

As in the trial court, attorney fees on appeal are recoverable when authorized by statute or contract. (See Code Civ. Proc. § 1021, Civil Code § 1717, Cal. Rules of Court, Rule 3.1702; see also *Serrano v. Unruh* (1982) 32 Cal.3d 621.) Even if a statute does not expressly authorize attorney fees on appeal, a successful party may recover fees incurred on appeal when the statute expressly grants such an award in the trial court, unless the statute specifically provides otherwise. (*Morcos v. Board of Retirement* (1990) 51 Cal.3d 924.) However, where a statute does not permit recovery of attorney fees as costs in the trial court, they necessarily are not awardable on appeal. (*Imperial Bank v. Pim Electric, Inc.* (1995) 33 Cal.App.4th 540.)

The fee setting inquiry in California ordinarily begins with the "lodestar" method, i.e., the number of hours reasonably expended multiplied by the reasonable hourly rate. A computation of time spent on a case and the reasonable value of that time is fundamental to a determination of an appropriate attorneys' fee award. The lodestar figure may then be adjusted, based on consideration of factors specific to the case, in order to fix the fee at the fair market value for the legal services provided. (*Serrano v. Priest* (1977) 20 Cal.3d 25, 49.) Such an approach anchors the trial court's analysis to an objective determination of the value of the attorney's services, ensuring that the amount awarded is not arbitrary. (*Id.* at 48, n.23.) After the trial court has performed the lodestar calculations, it shall consider whether the total award so calculated under all of the circumstances of the case is more than a reasonable amount and, if so, shall reduce the section 1717 award so that it is a reasonable figure. (*PLCM Group v. Drexler* (2000) 22 Cal.4th 1084, 1095-96.)

The factors considered in determining the modification of the lodestar include the nature and difficulty of the litigation, the amount of money involved, the skill required and employed to handle the case, the attention given, the success or failure, and other circumstances in the case. (*EnPalm, LLC v. Teitler Family Trust* (2008) 162 Cal. App. 4th 770, 774 (emphasis in original).) A negative modifier was appropriate when duplicative work had been performed. (*Thayer v. Wells Fargo Bank, N.A.* (2001) 92 Cal.App.4th 819.)

Costs on Appeal

To the extent the motion seeks costs on appeal, it is denied. When the Court of Appeal reverses in part, it must specify the award or denial of costs. (Cal. Rules of Court, rule 8.278(a)(3).) Here it did so, directing the parties to bear their own costs, and the remittitur repeats that direction. On remand, this Court's jurisdiction is defined by the remittitur. The Court may not award costs the Court of Appeal declined to award. (See *Hampton v. Superior Court* (1952) 38 Cal.2d 652.)

Attorney's Fees on Appeal

The Court of Appeal's costs order does not decide whether Sunrise may recover attorney's fees on appeal. (Cal. Rules of Court, rule 8.278(d)(2); *Butler-Rupp v. Lourdeaux* (2007) 154 Cal.App.4th 918, 925–928.) Civil Code section 1717 governs that question.

Each note provides that the maker "promises to pay all attorneys' fees and costs . . . incurred by Holder in connection with the interpretation, collection, or enforcement of this Note." Section 1717 makes that provision reciprocal. Fees are therefore available only to the party prevailing on the contract.

Sunrise contends it is the prevailing party on appeal. Section 1717, however, does not recognize a separate prevailing party for each stage of the litigation. There may be only one prevailing party entitled to fees on a given contract in a given lawsuit, and "action on a contract" refers to the entire lawsuit. (*de la Carriere v. Greene* (2019) 39 Cal.App.5th 270, [pin].) Success on appeal does not make a party the prevailing party when the other side prevails in the action. (*Ibid.*; *Wood v. Santa Monica Escrow Co.* (2009) 176 Cal.App.4th 802, [pin].) In *de la Carriere*, the court also held that an award of costs on a prior appeal did not conclusively establish entitlement to fees under section 1717. (*de la Carriere*, *supra*, at p. [pin].)

Sunrise's appeal revived its first cause of action. It did not resolve that claim or award Sunrise any relief on the notes. The claim has now been resolved against Sunrise. Sunrise did not recover greater relief in the action on the contract. (Civ.

Code, § 1717, subd. (b)(1).) It is therefore not the prevailing party and is not entitled to fees, whether incurred on appeal or in bringing this motion. Sunrise asserted no contract claim against High Desert, so there is no basis for contractual fees against it. Because Sunrise is not entitled to fees, the Court does not reach the reasonableness of the amount requested.

The Court does not decide whether defendants are entitled to attorney's fees under section 1717. That question is not before the Court on this motion.

Conclusion

Plaintiff Sunrise Financial, LLC's Motion for Attorney's Fees and Costs on Appeal is DENIED.

Moving party to give notice.

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